

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) FMM — Semester VI Examination, 2022-23

Paper No. BCF-321: Portfolio Management

Time: 3 Hours

Maximum Marks: 70

Instructions: Attempt all questions. All questions carry equal marks (14 marks each).

Question 1. Present your understanding of “Portfolio of Securities”. Also explain different phases of Portfolio Management. [14]

OR

Write a note on evolution of Portfolio Management. In what ways it has become more relevant nowadays? [14]

Question 2. Elucidate the component of “Risk” in detail in reference to Portfolio Management. [14]

OR

Past data for four years on two securities ‘A’ and ‘B’ show that the securities have yielded return on investment as under:

Year	Return from Security A (%)	Return from Security B (%)
1998–1999	15	9
1999–2000	5	11
2000–2001	18	15
2001–2002	7	10

Calculate the average return offered by the two securities and their relative riskiness. [14]

Question 3. A portfolio has four securities and the expected returns from them are:

$$r_1 = 15\%$$

$$r_2 = 12\%$$

$$r_3 = 14\%$$

$$r_4 = 20\%$$

The funds invested in four securities are Rs. 2,00,000, Rs. 2,80,000, Rs. 3,20,000 and Rs. 4,00,000 respectively. Find the expected return from the portfolio. [14]

OR

Compare and contrast “Fundamental Analysis” with “Technical Analysis”. [14]

Question 4. Following information is available in respect of Market:

Security	Expected Return (%)	Beta (β)
1	22.20	1.75
2	15.80	1.90
3	18.00	1.10
4	9.00	0.95
5	25.80	2.00
Risk-Free Asset	8.00	—
Market Portfolio	15.00	1.00

Find out which of the securities are overpriced or underpriced.

[14]

OR

Explain any one Model used for “Portfolio Selection” in detail.

[14]

Question 5. Compare the following two portfolios on the basis of Treynor ratio and Sharpe ratio:

Portfolio	Return (%)	Standard Deviation (%)	Beta (β)
A	10	13	0.75
B	20	26	1.45
Market Portfolio	14	18	1.00

Interest-free rate of return = 8%.

[14]

OR

Give a detailed insight of strategies and constraints of Portfolio Revision.

[14]

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